

BALANCE SHEET AS ON 31ST DECEMBER, 2008

(Amount in Rs.)

Sl. No.	Particulars	Schedule		As At 31st Dec. 2008	As At 31st Dec. 2007
I	SOURCES OF FUNDS				
	1. Shareholders' Funds				
	a) Share Capital	1	243,797,581		229,475,548
	b) Reserves & Surplus	2	17,035,963,698		12,689,557,278
				17,279,761,279	12,919,032,826
	2. Loan Funds				
	a) Secured Loans	3		7,887,024,501	4,315,165,147
	b) Unsecured Loans	4		18,808,274,000	15,769,911,500
				26,695,298,501	20,085,076,647
	3. Deferred Tax Liability			2,473,200,000	1,718,200,000
	Total Funds Employed			46,448,259,780	34,722,309,473
II	APPLICATION OF FUNDS				
	1. Fixed Assets	5			
	a) Gross Block		27,098,549,842		19,493,099,853
	Less : Depreciation		4,070,796,595		2,999,278,782
	Net Block		23,027,753,247		16,493,821,071
	Capital Work in Progress		7,680,179,333		2,882,306,469
				30,707,932,580	19,376,127,540
	2. Investments	6		3,062,049,480	444,148,464
	3. Current Assets, Loans and Advances	7			
	Current Assets				
	a) Inventories		3,447,315,863		3,411,070,622
	b) Sundry Debtors		4,127,744,021		1,953,685,774
	c) Cash and Bank Balances		1,023,370,362		8,053,693,122
			8,598,430,246		13,418,449,518
	Loans & Advances	8	4,818,321,412		1,914,114,572
			13,416,751,658		15,332,564,090
	Less :				
	Current Liabilities & Provisions				
	Current Liabilities	9	456,139,448		330,587,815
	Provisions	10	522,365,491		453,237,459
			978,504,939		783,825,274
	Net Current Assets			12,438,246,719	14,548,738,816
	4. Miscellaneous Expenditure	11		240,031,001	353,294,653
	Total Assets			46,448,259,780	34,722,309,473
	Notes on Accounts	15			

As per our report of even date

For H.S. Hathi & Co.
Chartered AccountantsHemant S. Hathi
PartnerPlace : Mumbai
Dated : 31st March, 2009

For and on behalf of the Board

Nitin J. Sandesara
Chairman & Managing DirectorR.B. Dixit
DirectorC. J. Sandesara
Jt. Managing DirectorKirtidev Khatri
Company Secretary

PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED 31.12.2008

(Amount in Rs.)

Sl. No.	Particulars	Schedule	For the Year ended 31st Dec. 2008	For the Year ended 31st Dec. 2007
I	INCOME			
	Sales		11,783,807,371	9,108,476,222
	Other Income		100,326,090	99,583,951
	Increase/(Decrease) in Stocks	12	(31,309,577)	574,629,393
	Total		11,852,823,884	9,782,689,566
II	EXPENDITURE			
	Material cost	13	4,215,394,862	3,735,260,703
	Manufacturing & Other Expenses	14	2,524,083,606	1,861,323,220
	Interest and Finance Charges		592,071,063	413,520,359
	Depreciation		1,071,517,813	862,596,975
	Total		8,403,067,344	6,872,701,257
	PROFIT BEFORE EXTRA ORDINARY ITEM & TAXATION		3,449,756,540	2,909,988,309
	Extraordinary Item		113,263,652	101,076,383
	PROFIT AFTER EXTRAORDINARY ITEM BUT BEFORE TAXATION		3,336,492,888	2,808,911,926
	Provision for Current Tax		375,000,000	315,000,000
	Provision for Deferred Tax		755,000,000	635,000,000
	Provision for Fringe Benefit Tax		4,750,000	4,000,000
	PROFIT FOR THE YEAR		2,201,742,888	1,854,911,926
	Prior Year Adjustment		(9,929,619)	(17,858,791)
	PROFIT AVAILABLE FOR APPROPRIATION		2,191,813,269	1,837,053,135
	PROPOSED DIVIDEND		121,898,791	114,737,774
	DIVIDEND TAX		20,716,700	19,499,685
	TRANSFER TO DEBENTURE REDEMPTION RESERVE		107,142,857	-
	TRANSFER TO GENERAL RESERVE		1,942,054,921	1,702,815,676
	EARNINGS PER SHARE [EPS]		9.03	8.08
	Notes on Accounts	15		

As per our report of even date

For H.S. Hathi & Co.
Chartered AccountantsHemant S. Hathi
PartnerPlace : Mumbai
Dated : 31st March, 2009

For and on behalf of the Board

Nitin J. Sandesara
Chairman & Managing DirectorR.B.Dixit
DirectorC. J. Sandesara
Jt. Managing DirectorKirtidev Khatri
Company Secretary

**CASH FLOW STATEMENT** FOR THE YEAR ENDED 31ST DECEMBER 2008

(Rs. In Lakhs)

Sl. No.	Particulars	For The Year Ended 31st Dec. 2008	For The Year Ended 31st Dec. 2007
A	CASH FLOW FROM OPERATING ACTIVITIES		
	Net Profit before tax and Extra ordinary items	34,497.56	29,099.88
	Adjustment for :		
	Depreciation and Amortisation	10,715.18	8,625.97
	Financial Charges	5,920.71	4,135.20
	Operating Profit before working adjustments for	51,133.45	41,861.05
	Trade Receivables	(21,740.58)	(5,346.18)
	Other Receivables	(28,257.11)	(13,395.10)
	Inventories	(362.45)	(7,972.83)
	Trade Payables	693.32	(170.56)
	Interest	(5,920.71)	(4,135.20)
	Direct Tax	(4,055.79)	(2,851.02)
	Cash flow before extra ordinary items	(8,509.86)	7,990.16
	Dividend & Dividend tax	(1,360.84)	(1,321.49)
	FCCB Issue Expenditure	-	(2,437.45)
	Net Cash Flow from operating Activities	(9,870.70)	4,231.22
B	CASH FLOW FROM INVESTING ACTIVITIES		
	Purchase of Fixed Assets	(124,033.23)	(50,151.66)
	Sale of Fixed Assets	-	-
	Dividend Received	-	-
	Purchase of Investments	(26,179.02)	(3,932.06)
	Sale of Investments	-	-
	Net Cash used in Investing Activities	(150,212.25)	(54,083.72)
C	CASH FLOW FROM FINANCING ACTIVITIES		
	Proceeds from Issue of Share Capital on Conversion of FCCB	143.22	71.28
	Proceeds from Share Premium on Conversion of FCCB	22,972.09	10,818.61
	Proceeds from long term borrowings	66,664.41	37,827.13
	Repayments of Share Application Money	-	-
	Repayments of Long term Borrowings	-	-
	Share Issue Expenses	-	-
	Net Cash used in financing Activities	89,779.72	48,717.02
	Net Increase/(Decrease) in Cash & Equivalents(A+B+C)	(70,303.23)	(1,135.48)
	Cash & Cash Equivalents as at January (Opening)	80,536.93	81,672.41
	Cash & Cash Equivalents as at 31st December (Closing)	10,233.70	80,536.93

We have Examined the attached Cash Flow Statement of Sterling Biotech Limited for the year ended 31st December, 2008. The statement has been prepared by the company in accordance with the listing agreement of the stock exchange and is based on and in agreement with the corresponding Profit & Loss Account and Balance Sheet of the Company covered by our report of the even date to the members of the company.

As per our report of even date

For H.S. Hathi & Co.
Chartered AccountantsHemant S. Hathi
PartnerPlace : Mumbai
Dated : 31st March, 2009

For and on behalf of the Board

Nitin J. Sandesara
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